

Freedom of speech to fund management is another inalienable right of fund shareholders. Few investors are aware that the management of any enlightened mutual fund is interested in the opinions of the fund's shareholders. In my experience, shareholders are rarely heard from except in matters relating to performance and the accurate processing of their accounts. One major area in which shareholders should make their opinions known is the quality of the communications they receive from their fund. Many annual reports are superficial and incomplete. Any annual report worth its salt should meet the standards I suggested. . . .

Many funds fall short of providing all—or indeed *any*—of this information to their shareholders. In fact, these sins of omission are more the industry norm than the exception. Most funds seem to believe that performance comparisons are odious and, implicitly at least, that “there is no fair standard against which we may be measured.” One assumes the fund's independent directors themselves receive some comparison and evaluation of the fund's performance. An obvious solution is to make that information available to the actual *owners* of the fund—the shareholders. There is nothing wrong with presenting an imperfect comparison and then describing its limitations. But every fund simply *must* give its investors appropriate and enlightening information in its annual report. The active investor should demand no less.

In April 1993 the SEC, presumably frustrated by the industry's recalcitrance, adopted a requirement that mutual funds provide comparisons of their performance relative to an appropriate index along with a narrative discussion of strategies and factors that materially affected the fund's performance during the year, along with a ten-year comparative chart. While this requirement is a welcome step forward, funds have been given the option of providing the information either in their annual reports or in their prospectuses. Which alternative funds will choose remains to be seen. But it is ironic that many fund sponsors, whose portfolio managers rely on full disclosure from corporations, must be